

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

1. Contracting Activity: Department of Veterans Affairs (VA)
Office of Procurement, Acquisition, and Logistics
Technology Acquisition Center
23 Christopher Way
Eatontown, NJ 07724
2. Description of Action: This proposed action is for a sole-source firm-fixed price (FFP) contract for brand name NewEra software maintenance support with NewEra Software, Inc. (NewEra) 8070 Santa Teresa Boulevard, Suite 240, Gilroy, CA 95020.

3. Description of Supplies or Services: The Department of Veterans Affairs, Office of Information and Technology (OI&T), Infrastructure Operations (IO) has a requirement for brand name NewEra software maintenance support for NewEra perpetual licenses currently in use at the VA. Specifically, brand name NewEra Stand Alone Environment (SAE) and NewEra Image Focus Core (IFO) Subsystem software maintenance support running on International Business Machines (IBM) z series operating system (z/OS) and IBM z16 machines for the mainframe platform. The brand name NewEra software maintenance support will be used to maintain and support the IBM Mainframe environment by monitoring and testing configuration changes and improvements and a stand-alone recovery tool that can be Initial Program Load (IPL) from various locations and provide an Interactive System Productivity Facility like interface to allow for edit or restore of datasets to correct a problem that has caused an IPL failure of a z/OS Logical Partition (LPAR).

The Contractor shall provide one (1) telephone number and/or a point of contact for VA to contact for opening maintenance service calls. The required level of service includes 24 hours per day, 7 days per week telephone and online coverage. The Contractor shall provide secure connection capabilities for the downloading of software updates and/or the uploading of diagnostic information. The preferred protocol for transfer is Secure File Transfer Protocol.

The period of performance includes a base period of 12 months with 4 (four) 12-month option periods, if exercised. The total estimated value of the proposed action is [REDACTED], inclusive of all option periods.

4. Statutory Authority: The statutory authority permitting other than full and open competition is 41 U.S.C. 3304(a)(1) as implemented by the Federal Acquisition Regulation (FAR) 6.103-1 entitled, "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements."

5. Rationale Supporting Use of Authority Cited Above: Based on extensive market research, as described in section 8 of this document, it was determined that only NewEra can provide mainframe software licenses and maintenance support. Specifically, the following functions are only provided by NewEra, which meets the

Government's requirements for the current IBM z/OS and IBM z16 machine for the mainframe platform at the Austin Information Technology Center (AITC):

- Image FOCUS is the only product that allows a user to have access to Multiple Virtual Storage when Job Entry Subsystem, Virtual Telecommunications Access Method and Time-Sharing Option are not available.
- Image FOCUS is the only product that allows a user to run a virtual IPL prior to initiating an IPL to ensure the process will be successful.
- Image FOCUS is the only product that can tell its administrator who made a change to an image, the nature of the change, where and when it was made and validate the change for fitness.
- Image FOCUS is the only product that can proactively isolate changes that need to be resolved when migrating from a current level of the Operating System to a newer version using the Image FOCUS New Release Analysis.
- The SAE is a unique product that initiates a system IPL and that there are no other products commercially available that offer even the basic capabilities of The Stand Alone Environment.

Without the functions listed above, the Government would be exposed to system errors, when IPL is performed on the system. This would cause the system to not be brought back up from an IPL which would result in the disaster recovery system failing.

The current IBM z/OS and IBM z16 machine for the mainframe supports 60 various applications which include but are limited to the Financial Management System, Benefits Delivery Network, and Beneficiary Identification Records Locator Subsystem. If these applications were to fail, the Government would lose the ability to pay submitted invoices and pay benefits to Veterans, which would have a direct negative effect on Veterans.

Furthermore, the Government requires NewEra brand name software maintenance support to maintain the identified brand name NewEra Stand Alone Environment and NewEra Image Focus Core Subsystem software licenses described above. Although there is other software that maintains and supports the mainframe environments, those products do not meet the VA's requirements because the source code required to issue the updates is proprietary. Therefore, no other firm has the capability of developing and issuing software updates and fixes for the NewEra software necessary to support existing VA's requirements. At present, there is no other software maintenance available in the marketplace that can meet this requirement.

6. Efforts to Obtain Competition: Market research was conducted using SEWP, details of which are in the market research section of this document. This effort did not yield any additional sources that can meet the Government's requirements. There is no competition anticipated for this acquisition. Additionally, the proposed action will be synopsisized on the Contracting Opportunities Page in accordance with FAR 5.201. Any proposals that are received shall be evaluated.

7. Actions to Increase Competition: The Government will continue to conduct market research to ascertain whether there are changes in the marketplace that would enable future actions to be competed.

8. Market Research: The Government's technical experts conducted market research using SEWP and a general software search during March 2025 through September 2025 by reviewing similar mainframe software maintenance support services to ascertain if other brands could meet VA's mainframe software maintenance requirements. Specifically, VA subject matter experts conducted research on all major IBM z/OS websites including IBM.com, WatsonWalker.com and SHARE.org. There are alternatives, primarily through IBM's own tools like IBM Z Development and Test Environment (ZD&T) or using emulated environments with 3270 emulators (like x3270), but finding an exact replica of NewEra's specific "Stand Alone Environment (SAE)" for direct DASD access and repair outside a running z/OS is tough; ZD&T offers IPLing emulated z/OS with access to virtualized DASD (<<IBM Z Development and Test Environment (ZD&T) Personal Edition). Other general mainframe utilities (like DFSMSdss, FDR, IEBCOPY) handle data movement/restore, but SAE's unique feature is its self-contained OS for emergency DASD repair/erasure.

Additionally, the Government's technical experts for this requirement contacted NewEra to determine if there were any authorized resellers for the required software maintenance. NewEra responded with a sole source letter, stating there are no authorized resellers they work with, and they are not part of the General Services Administration (GSA) Schedule or Solutions for Enterprise-Wide Procurement (SEWP). Based on this market research, it was determined that there are no other vendors capable of providing the Government with the required NewEra Stand Alone Edit and NewEra IFO Subsystem software maintenance support. As a result, this effort will be solicited as a sole source to NewEra Software, Inc., 8070 Santa Teresa Boulevard, Suite 240, Gilroy, CA 95020.

9. Other Facts: None.